

HISTORY VERSUS OPPORTUNITY

There were some remarkable parallels between the period when I was starting my business at the depths of the Great Depression and during the years 1947 through the very early 1950's, when I was restarting it after a military service interlude of three and a half years. Both periods were times when it was unusually hard to obtain immediate results for clients in the face of overwhelming general pessimism. Both were times that were to prove spectacularly rewarding for those who had the patience. In the earlier period, stocks were driven to perhaps the lowest level in relation to real value seen in the Twentieth Century, not just because of the economic havoc wrought by the Great Depression, but also because prices were discounting the worry of many investors as to whether the American system of private enterprise would itself survive. It survived, and in the ensuing years the rewards of those able and willing to invest in the right stocks were fabulous.

Just a few years after World War II, another fear kept stocks at levels almost as low in relation to intrinsic value as those seen at the depths of the Great Depression. This time, business was good and corporate earnings were steadily rising. Nevertheless, almost the entire investment community were mesmerized by a simple comparison. A relatively few years after the Civil War, a period of immediate prosperity was followed by the Panic of 1873, and almost six years of deep depression. A somewhat similar period of prosperity after World War I was followed by the Crash of 1929 and the even deeper depression of about the same length. In World War II, the costs of war had run on a per diem basis about ten times that of World War I.

"Therefore," reasoned the dominant investment view of this period, "current excellent earnings don't mean anything." They will be followed by a horrendous crash and a period of extreme adversity when all would suffer.

Year after year went by, and the per-share earnings of more corporations rose. Along about 1949, this period became known as the era in which "American business is worth more dead than alive." because as soon as word spread that a publicly owned company was about to go out of business, its shares would rise dramatically. The liquidating value of many a company was so much more than its current market valuation. Year followed year, and slowly it began dawning on the investment public that